USN | | | | | | | | | | |

[23THSS109]

THIRD SEMESTER B.Tech EXAMINATION, SEPTEMBER-2024

ECONOMICS FOR ENGINEERING

Time: 3 Hours **Maximum Marks: 100**

Instructions: Missing data may be suitably assumed.

ANSWER ALL QUESTIONS

		PART-A	**5X2=10**		
1.	**a.**	Explain the concept of opportunity cost in the context of a production possibility curve.	L3	CO1	**02**
	b.	Define Production Function with suitable examples.	L3	CO3	**02**
	c.	What is the role of central banks in the monetary system?	L1	CO2	**02**
	d.	Explain the concept of utility in consumer behavior.	L3	CO3	**02**
	e.	Define a budget constraint and its role in consumer decision-making.	L1	CO3	**02**
		PART-B	**6X5=30**		
2.	**a.**	List the main components of a monetary and financial system.	L1, L2	CO2	**05**
		OR			
	b.	Explain the concept of diminishing returns in the context of the production function.	L2, L3	CO2	**05**
3.	**a.**	Why is it important for businesses to understand their incremental costs when making production decisions?	L3	CO3	**05**
		OR			
	b.	Describe a scenario where a company might experience losses despite having positive total revenue.	L3	CO3	**05**
4.	**a.**	Explain the concept of suppliers' income effect in the context of changing market conditions.	L2	CO2	**05**
		OR			
	b.	Define investment in the context of macroeconomics. How does it contribute to economic growth?	L2, L3	CO2	**05**
5.	**a.**	Explain the role of investment in the business cycle. How does it influence economic fluctuations?	L1, L2	CO4	**05**
		OR			
	b.	Discuss the impact of an increase in government taxes on consumer spending and overall economic activity.	L3	CO4	**05**

6.	**a.**	Discuss the role of banks in creating credit and its significance in the economy.	L2	CO3	**05**
		OR			
	b.	Define the fundamental elements of a business. How do they contribute to the overall functioning of a business entity?	L3	CO3	**05**
7.	**a.**	Describe the factors that determine the supply of money in an economy.	L2	CO4	**05**
		OR			
	b.	Describe the role of innovation and technology in shaping the contemporary business landscape.	L3	CO4	**05**
		PART-C	**6X10=60**		
8.	**a.**	Explain the basic premise of the Simple Keynesian Model of Income Determination. How does it illustrate the relationship between aggregate demand and national income?	L3	CO4	**10**
		OR			
	b.	Describe the economic consequences of an increase in exports for a country. How does it affect employment and national income?	L2	CO4	**10**
9.	**a.**	Discuss the importance of accurate financial forecasting in business decision-making. What are some elementary techniques used in business forecasting?	L1, L3	CO6	**10**
		OR			
	b.	Explain the differences between short-term and long-term forecasting in business. Provide examples of each.	L3	CO6	**10**
10.	**a.**	Explain the role of leadership in team management. How can a leader motivate team members and enhance their productivity?	L3	CO5	**10**
		OR			
	b.	Explain how government policies and programs can address the issue of involuntary unemployment. What role does education and skill development play in reducing unemployment rates?	L2, L3	CO5	**10**
11.	**a.**	Explain how the government uses fiscal policy to address inflationary pressures. What measures can be taken during periods of high inflation?	L3	CO6	**10**
		OR			

	b.	Explain the concept of price and wage rigidities. How do these rigidities affect the ability of an economy to adjust to changes in supply and demand?	L4	CO6	**10**
12.	**a.**	Describe the role of the central bank in a country's economy. How does it control the money supply, and why is this control important for economic stability?	L2, L3	CO5	**10**
		OR			
	b.	Define voluntary and involuntary unemployment. How do these types of unemployment differ, and what are the causes of each?	L3	CO5	**10**
13.	**a.**	Differentiate between monetary policy and fiscal policy. How do these policies work together to stabilize the economy?	L2	CO4	**10**
		OR			
	b.	Describe the key elements of a successful product development process. How does market research contribute to product design and improvement?	L3	CO4	**10**